BERNSTEIN
SOCIETE GENERALE GROUP

22 October 2026

U.S. Semiconductor Capital Equipment

Lam Research Corp

Rating

Outperform

Price Target

LRCX **350.00 USD** (385.00 *OLD*)


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Lam Research (LRCX): FQ127 recap - Were investors tilting at windmills?

LRCX F1Q27 results were decent ($8.22B/$2.20 vs Street at $8.13B/$2.19) driven by Systems revenue. Foundry revenues rose ~41% QoQ, DRAM +17%, NAND +52%, and Logic +8%. Gross margins at 52.4% were above expectations. China revenue exposure grew meaningfully to ~35% in the quarter, up ~$1.1B QoQ.

F2Q27 guidance was in line with consensus but likely below whispers ($8.6B/$2.33/ 52.5% vs Street $8.6B/$2.34/51.9%), though management noted supply constraints impacting outlook (suggesting any slippage would ship in March). The company provided an initial CY27 WFE outlook at >$200B (noting continued cleanroom constraints) and reiterated confidence in outgrowing the market once again (suggesting >30% systems revenue growth) as well as expecting >15% growth in CSBG,

Given the inline guide the stock sold off some in the aftermarket though we suspect without the supply constraints outlook would have been OK. However, our recent conversations suggest that some buy side investors could have been looking for a 2027 WFE well in excess of $200B which may be contributing as well, though frankly we have viewed some of the more bullish outlooks offered up (some at $250B+?) as quixotic given cleanroom constraints. That being said, we have no doubt that actual demand is well above even those levels, and as the industry builds out datacenter capacity we remain very confident that the tools will follow. In the meantime we believe Lam is presenting an increasingly compelling profile with (now) a reset from what may have been unrealistic expectations, strong margin performance, a likely sharply increased buyback, and valuation growing quite supportive.

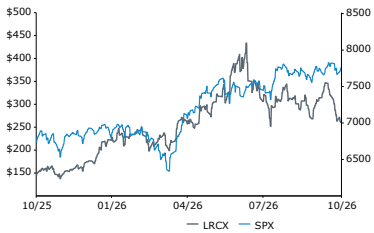
We raise estimates, though lower our multiple from 35x to 30x given the constrained environment, and take our PT down a touch to $350 vs $385 prior (30x on FY28 EPS of $11.69 vs $10.97 prior). We rate LRCX Outperform.

Close Date	21 Oct 2026
LRCX Close Price (USD)	260.81
Price Target (USD)	350.00
Upside/(Downside)	34%
52-Week Range	438.50/135.50
SPX	7,757.17
FYE	Jun
Div Yield	0.5%
Market Cap (USD) (M)	326,384
EV (USD) (M)	324,926

Performance	YTD	1M	6M	12M
Absolute (%)	52.4	(13.7)	0.9	79.8
SPX (%)	13.3	(0.1)	9.8	15.2
Relative (%)	39.0	(13.6)	(8.9)	64.6

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Investment Implications

LRCX (OP, $350): The company is benefiting from key inflections (GAA, packaging, HBM, NAND upgrades), margins are strong, and CY27 commentary seems supportive.

Adjusted EPS	F26A	F27E	F28E
LRCX (USD)	5.82	**9.62**	**11.69**
OLD	--	9.22	10.97

Financials	F26A	F27E	F28E	CAGR
EBIT (M)	8,200	14,212	16,879	--
FCF (M)	4,891	13,287	13,455	--
Revenues (M)	23,233	35,248	40,836	--

Valuation Metrics	F26A	F27E	F28E
Adjusted P/E (x)	44.8	27.1	22.3

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.

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DETAILS

For our LRCX model, please click: here.

LRCX F1Q27 results were good, inline to a touch above ($8.22B/$2.20 vs Street at $8.13B/$2.19) with the beat driven by Systems revenue. Sequentially, Foundry revenues were up ~41% with strength in leading edge nodes, advanced packaging and mature node spending down in China. DRAM revenues were up ~17% QoQ with spending directed towards wafer additions and technology migrations. NAND revenues grew ~52% QoQ driven by customer upgrades, and Logic revenues were up ~8% QoQ. Gross margins at 52.4% were above expectations, driven by favorable customer and product mix. China revenue exposure grew meaningfully to ~35% in the quarter, up ~$1.1B QoQ.

- 1Q27 sales of $8.22B were a touch above consensus ($8.13B) and guidance of $8.10B (**Exhibit 1**). The beat was driven by systems revenue.
  - Systems revenues were $5.73B (+35% QoQ, +62% YoY), above consensus of $5.46B (**Exhibit 2**).
  - CSBG revenues were $2.49B (+1% QoQ, +40% YoY), below consensus at $2.72B (**Exhibit 2**).
- By end market, DRAM, NAND, Foundry, and Logic/Other accounted for 20%, 26%, 46%, and 8% of total systems' revenue, respectively (**Exhibit 3**). Sequentially, Foundry revenues were up ~41% with strength in leading edge nodes, advanced packaging and mature node spending down in China. DRAM revenues were up ~17% QoQ with spending directed towards wafer additions and technology migrations (1-alpha, 1-beta and 1-gamma nodes). NAND revenues grew ~52% QoQ driven by customer upgrades to >256 layer devices, with Lam now also starting to see initial spending on 384 layer devices. Logic revenues were up ~8% QoQ (**Exhibit 4**).
- With strong sequential growth in NAND spending and DRAM also growing sequentially, Memory sales were up QoQ on a dollar basis though flattish as ~46% of systems revenue this quarter as DRAM declined as % of mix (**Exhibit 5**).
- By region, China was up meaningfully and accounted for ~35% of revenues, with 18% from Taiwan, 20% from Korea, 8% from the US, 9% from Japan, 6% from SEA and 4% from Europe (**Exhibit 6**). China concentration was up 9ppts QoQ vs the 26% seen in 4Q26, with China revenues up ~$1.1B QoQ (**Exhibit 7**).
- Gross margins were 52.4%, the highest the company has seen is 20 years, above consensus (52.1%) and guidance (52.0%), up ~40 bps sequentially (**Exhibit 8**) driven by favorable customer and product mix.
- Opex came in at $1,004M, slightly above consensus at $998M.
- Operating margins of 40.2% were above consensus of 39.8% and guidance of 39.5% (**Exhibit 8**) on higher revenues and gross margins.
- Tax rate of 16.5% was above expectations (15.1%).
- PF EPS of $2.20 was a touch above consensus at $2.19 (**Exhibit 9**).
- Deferred revenue was up $227M in the quarter, landing at ~$2.66B (**Exhibit 10**).

F2Q27 guidance was in line with consensus but likely below buyside whisper numbers ($8.6B/$2.33/52.5% vs Street $8.6B/$2.34/51.9%), though management also noted the revenue guide was negatively impacted by some supply chain that they are working through, and suggested any shipments slipping out of December would be completed in March. More importantly, management provided an initial CY27 WFE outlook at >$200B, noting that this number is still constrained by cleanroom space; they also reiterated their confidence that they will again outgrow the market (suggesting >30% systems revenue growth) and expect CSBG to grow more than 15%. By end market the company sees DRAM growing fastest, followed by advanced logic and NAND.

- Management guided F2Q27 sales to $8.6B, ~in line with consensus (Street at $8.60B) but likely below whispers, though management noted the guide was negatively impacted by some supply chain challenges which they are working through. However, they suggested that any shipments slipping out of December would be completed in March.

- Gross margins were guided to 52.5%, above consensus at 51.9%, and roughly flat sequentially even as customer mix worsens (they see China mix declining significantly QoQ).
- Opex was implicitly guided to ~$1.03B (~12% of revenue) a bit below consensus on a dollar basis ($1.05B), despite significant investment in headcount.
- Operating Margins were guided to 40.5%, above consensus at 39.6%.
- Diluted shares for next quarter were guided to 1,253M, a touch above consensus at ~1,243M.
- The tax rate which stepped up in the quarter to ~16.5% is seen holding at this level due to increase in revenue in the US and higher US GILTI rates.
- Mostly due to tax rate PF EPS was guided to $2.33, a hair below consensus at $2.34 despite better gross and operating margin outlook (**Exhibit 11**).
- Without providing specific numbers, Lam expects China to make up a meaningfully lower share of total revenue than in Q1, driven by lower domestic-customer revenue in China with multinational customers in expected to remain reasonably strong.
- Management also provided an initial CY27 WFE outlook at >$200B. They noted that this number remains constrained by cleanroom space, and reiterated their confidence that they will again outgrow the market (suggesting >30% systems revenue growth) as well as expecting >15% growth in the CSBG segment. In terms growth expectations by end market, the company still sees DRAM growing fastest, followed by advanced logic and NAND with advanced packaging growing strongly as well.

Given the inline guide the stock sold off some in the aftermarket though we suspect without the near-term supply constraints the company's outlook would have been OK. However, our conversations with investors since SEMICON West suggest that some buy side investors could have been looking for a 2027 WFE well in excess of $200B which may be contributing as well, though frankly we have viewed some of the more bullish outlooks offered up (some looking for $250B+) as quixotic given cleanroom constraints. That being said, we have no doubt that actual demand is well above even those levels, and as the industry builds out datacenter capacity we remain very confident that the tools will follow. We note that we will get a more concrete number from Lam in January, and suspect it will come up through the year as the supply and cleanroom situations firm up; in the meantime we believe Lam is presenting an increasingly compelling profile with (now) a reset from what may have been unrealistic expectations, strong margin performance, a likely sharply increased buyback, and valuation growing quite supportive.

- Given the inline guide the stock sold off some in the aftermarket, though we suspect that without the near-term supply constraints we suspect the company's outlook would have been OK.
- Our takeaways from SEMICON West last week noted that we might hear something around CY27 WFE from Lam on this call. However, our conversations after publishing it suggested that some buy side investors could have been looking for a 2027 WFE well in excess of $200B which may be contributing as well, though frankly we had viewed some of the more bullish outlooks offered up (some looking for $250B+) as quixotic given cleanroom constraints likely make that a non-starter.
- That being said, we have no doubt that actual demand is well above even those levels. And as the industry continues to build out datacenter capacity we remain very confident that the tools will follow. We note that we will get a more concrete number from Lam on the January call, and suspect it will likely come up through the year as the supply and cleanroom situations firm up.
- In the meantime we believe Lam is presenting an increasingly compelling profile with (now) a reset from what may have been unrealistic expectations in the near term, strong margin performance a likely sharply increased buyback (a near-term ASR, and a cash flow profile that suggests material incremental repurchases at an 85% return rate), and valuation approaching 25x NTM and 20x FY28 (growing more supportive) (**Exhibit 12**).

Other tidbits:

- Cash return in the quarter was $1,336M ($325M in dividends, $1,011M in share buybacks) and represented 41% of FCF in the quarter and 79% of FCF on a TTM basis (**Exhibit 13**).

- Free cash flow in the quarter was $3,240M (39% FCF margin) and ~$6.5B on a TTM basis (25% FCF margin) (**Exhibit 14**).
- Inventory dollars were up $274M to $4,551M vs $4,276M last quarter, while inventory days fell again to 106 vs 121 in Q4, and the company reaching an inventory turnover of ~3.4x, a level it hasn't seen in ~7 years (**Exhibit 15**).
- The company has a remaining repurchase authorization of $3B and noted that while it would not disclose start and end dates of its ASR program it would be continued to be executed in the December quarter.

We update our model, raising estimates, though we lower our multiple from 35x to 30x due to a still constrained CY27 WFE environment, and reduce our price target a touch to $350 from $385. We maintain our Outperform rating.

- We update our model, raising estimates.
- We raise our FY2027 revenue estimate from $34.6B to $35.2B, FY2028 from $38.9B to $40.8B, and FY2029 from $45.3B to $47.1B.
- We raise our FY2027 PF EPS estimate from $9.22 to $9.62, FY2028 from $10.97 to $11.69, and FY2029 from $13.65 to $14.23.
- We however lower our multiple from ~35x to ~30x to reflect a still constrained WFE environment.
- We lower our price target a touch from $385 to $350 (~30x, down from ~35x, on our FY28 non-GAAP EPS estimate of $11.69).
- We maintain our Outperform rating.

EXHIBIT 1: **LRCX Sept-Q results were solid, a bit above Street and our expectations across the board**

Q127	Actual	Consensus	Actual vs. Consensus	Bernstein	Actual vs. Bernstein
Revenue	$8,219	$8,127	$92	$8,111	$108
PF Gross Margin	52.4%	52.1%	29 bps	52.0%	38 bps
Operating Margin	40.2%	39.8%	35 bps	39.5%	64 bps
PF Diluted EPS ($)	$2.20	$2.19	$0.01	$2.15	$0.05

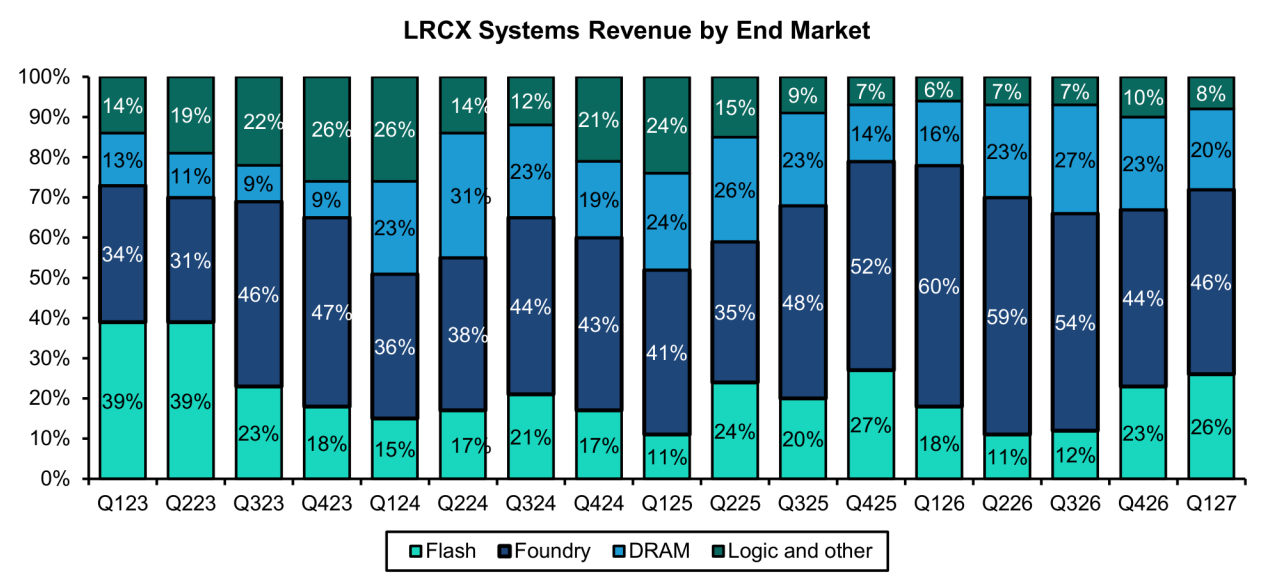
Source: Company reports, Bloomberg, Bernstein analysis and estimates

EXHIBIT 2: **Systems revenues were up 35% QoQ and up 62% YoY, CSBG revenues were up 1% QoQ and up 40% YoY**

FQ	Q123	Q223	Q323	Q423	Q124	Q224	Q324	Q424	Q125	Q225	Q325	Q425	Q126	Q226	Q326	Q426	Q127
Systems Revenue	$3,182	$3,548	$2,256	$1,710	$2,057	$2,299	$2,396	$2,170	$2,393	$2,626	$3,035	$3,438	$3,548	$3,357	$3,731	$4,250	$5,733
QoQ	*6%*	*11%*	*-36%*	*-24%*	*20%*	*12%*	*4%*	*-9%*	*10%*	*10%*	*16%*	*13%*	*3%*	*-5%*	*11%*	*14%*	*35%*
YoY	*9%*	*29%*	*-15%*	*-43%*	*-35%*	*-35%*	*6%*	*27%*	*16%*	*14%*	*27%*	*58%*	*48%*	*28%*	*23%*	*24%*	*62%*
Foundry	$1,082	$1,100	$1,038	$804	$740	$874	$1,054	$933	$981	$919	$1,457	$1,788	$2,129	$1,981	$2,015	$1,870	$2,637
%	34%	31%	46%	47%	36%	38%	44%	43%	41%	35%	48%	52%	60%	59%	54%	44%	46%
DRAM	$414	$390	$203	$154	$473	$713	$551	$412	$574	$683	$698	$481	$568	$772	$1,007	$977	$1,147
%	13%	11%	9%	9%	23%	31%	23%	19%	24%	26%	23%	14%	16%	23%	27%	23%	20%
NAND	$1,241	$1,384	$519	$308	$308	$391	$503	$369	$263	$630	$607	$928	$639	$369	$448	$977	$1,491
%	39%	39%	23%	18%	15%	17%	21%	17%	11%	24%	20%	27%	18%	11%	12%	23%	26%
Logic and Other	$445	$674	$496	$445	$535	$322	$287	$456	$574	$394	$273	$241	$213	$235	$261	$425	$459
%	14%	19%	22%	26%	26%	14%	12%	21%	24%	15%	9%	7%	6%	7%	7%	10%	8%
Customer Support Revenues	$1,892	$1,730	$1,614	$1,497	$1,425	$1,459	$1,398	$1,702	$1,775	$1,750	$1,685	$1,734	$1,777	$1,987	$2,111	$2,472	$2,487
QoQ	*16%*	*-9%*	*-7%*	*-7%*	*-5%*	*2%*	*-4%*	*22%*	*4%*	*-1%*	*-4%*	*3%*	*2%*	*12%*	*6%*	*17%*	*1%*
YoY	*37%*	*16%*	*14%*	*-8%*	*-25%*	*-16%*	*-13%*	*14%*	*25%*	*20%*	*21%*	*2%*	*0%*	*14%*	*25%*	*43%*	*40%*
Total	$5,074	$5,278	$3,870	$3,207	$3,482	$3,758	$3,794	$3,872	$4,168	$4,376	$4,720	$5,171	$5,324	$5,345	$5,841	$6,722	$8,219
QoQ	*9%*	*4%*	*-27%*	*-17%*	*9%*	*8%*	*1%*	*2%*	*8%*	*5%*	*8%*	*10%*	*3%*	*0%*	*9%*	*15%*	*22%*
YoY	*18%*	*25%*	*-5%*	*-31%*	*-31%*	*-29%*	*-2%*	*21%*	*20%*	*16%*	*24%*	*34%*	*28%*	*22%*	*24%*	*30%*	*54%*

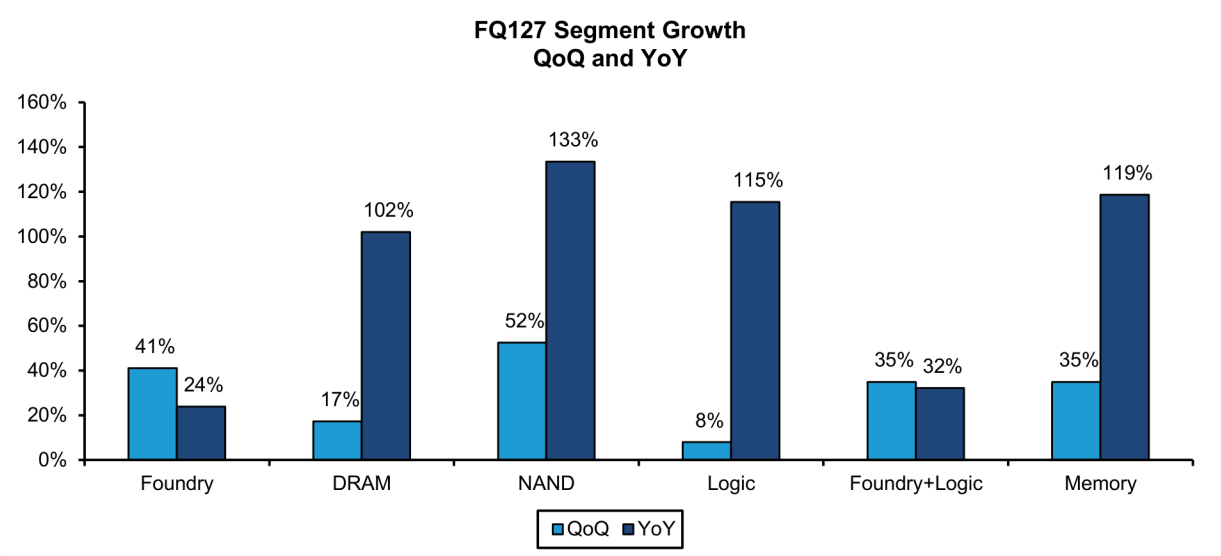
Source: Company reports, Bernstein analysis

EXHIBIT 3: **Foundry was up 2ppt sequentially while DRAM was down 3ppt and Logic was down 2ppt. NAND had a very strong quarter and was up 3ppt QoQ**



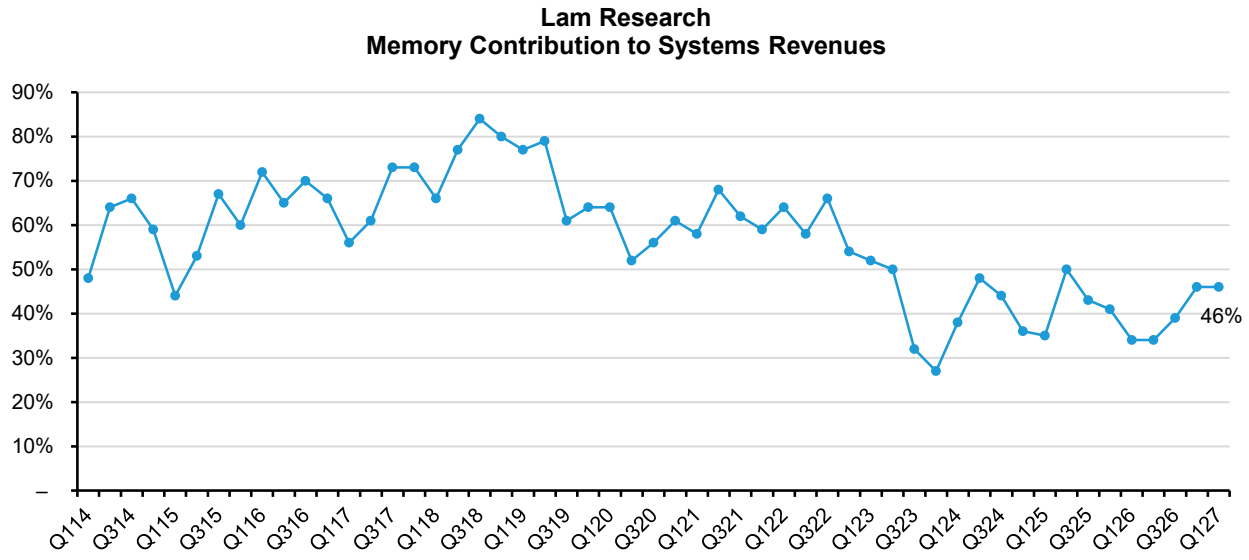
Source: Company reports, Bernstein analysis

EXHIBIT 4: **All end markets were up sequentially, led by NAND and Foundry**



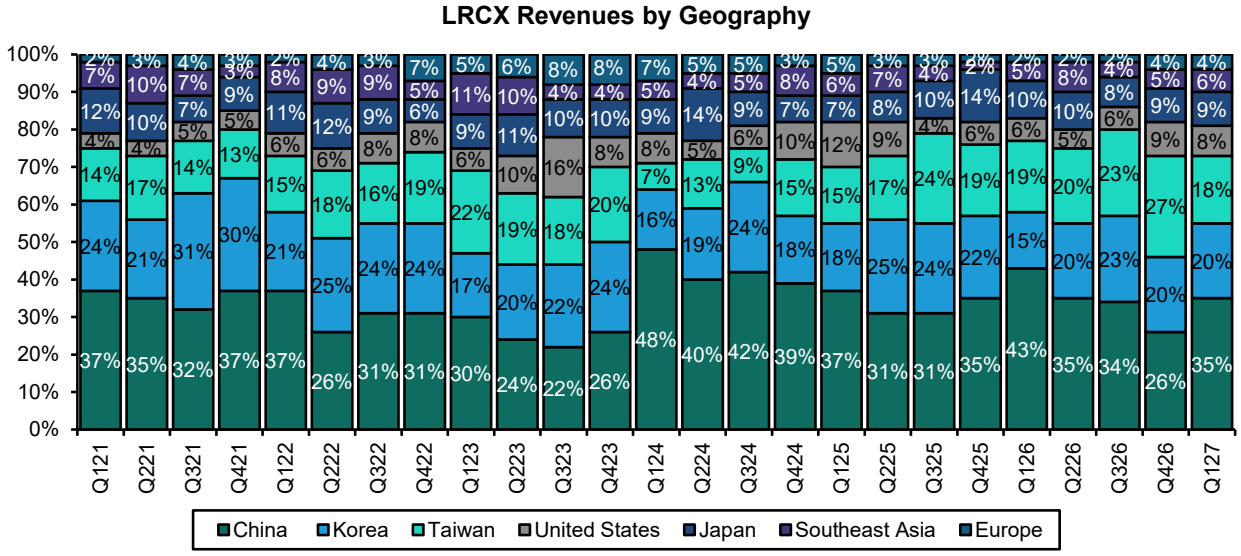
Source: Company reports, Bernstein analysis

EXHIBIT 5: **Memory share was flat QoQ at 46% with 20%/26% from DRAM and NAND, respectively**



Source: Company reports, Bernstein analysis

EXHIBIT 6: **China grew the most as % of revenue this quarter followed by Southeast Asia. Korea and Taiwan were 20ppt and 18ppt as a % of revenues, respectively**



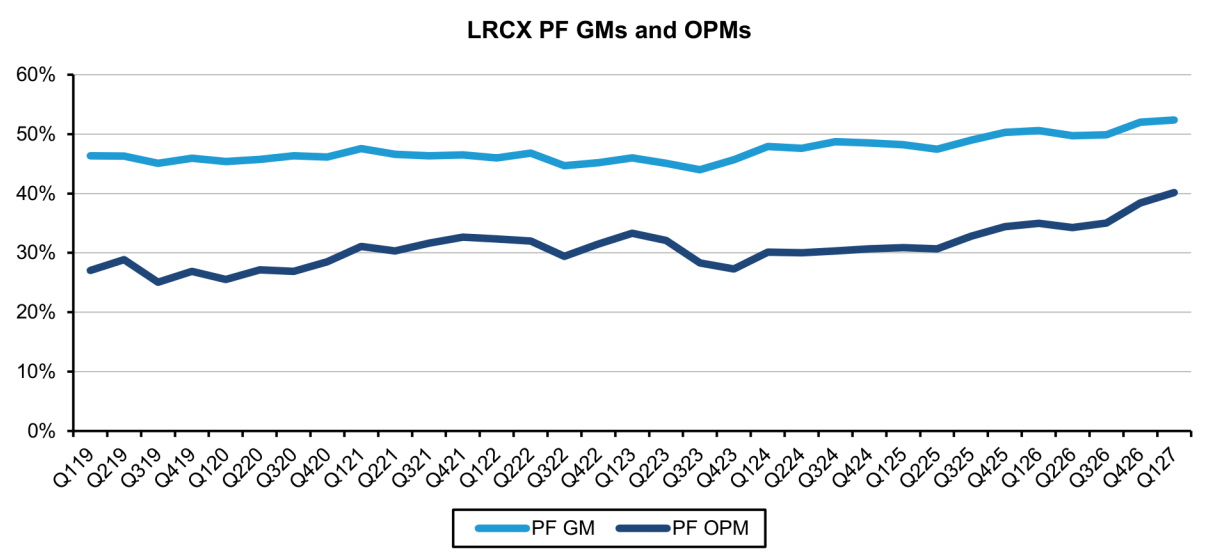
Source: Company reports, Bernstein analysis

EXHIBIT 7: **China revenues were up ~$1.1B sequentially, with revenue exposure growing 9ppt sequentially to 35% in the quarter**



Source: Company reports, Bernstein analysis

EXHIBIT 8: **Margins were solid and up QoQ, driven by favorable customer mix and operating leverage with PF gross margin up 35bps QoQ and operating margin up ~180bps sequentially**



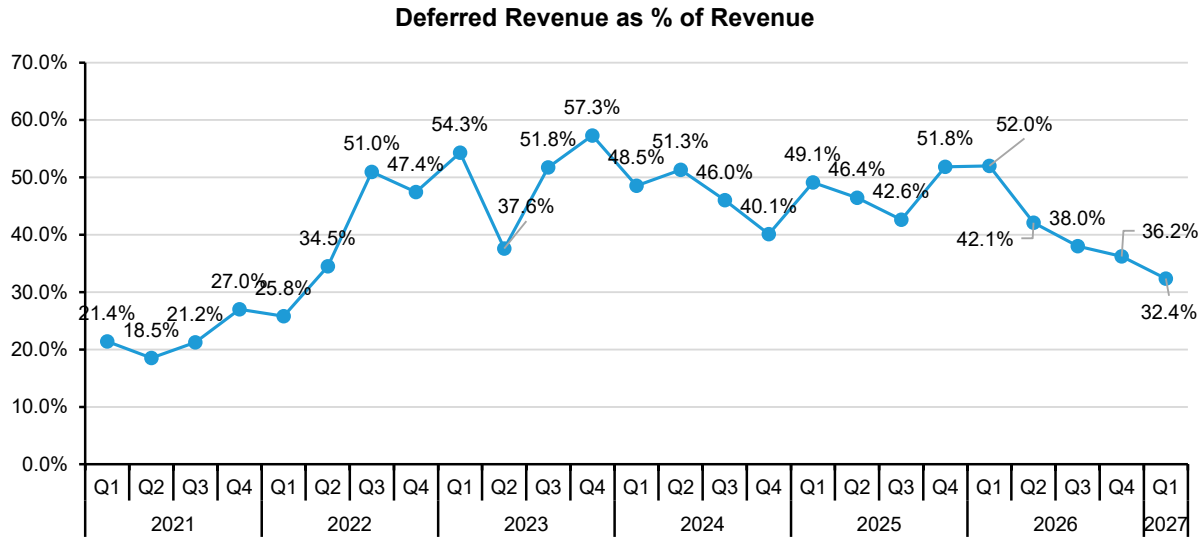
Source: Company reports, Bernstein analysis

EXHIBIT 9: **LRCX results moderately beat consensus expectation estimates. Tax rates were well above expectations due to higher US taxes on foreign earnings and geographical revenue mix. The company expects structurally higher tax rates to persist.**

127	Consensus	Actual	Δ	Bernstein
Revenue ($M)	$8,127	$8,219	$92	$8,111
COGS ($M)	$3,894	$3,914	$20	$3,893
Gross Profit ($M)	$4,233	$4,305	$72	$4,218
Gross margin %	52.1%	52.4%	29.4 bps	52.0%
Opex ($M)	$998	$1,004	$7	$1,012
Operating income ($M)	$3,235	$3,301	$66	$3,206
Operating margin %	39.8%	40.2%	35.1 bps	39.5%
Other expense, net ($M)	$7	$16	$9	$6
EBT ($M)	$3,242	$3,317	$75	$3,212
Tax ($M)	-$490	-$548	-$59	-$514
Tax rate %	15.1%	16.5%	144 bps	16.0%
Net Income ($M)	$2,753	$2,768	$16	$2,698
DSO (M)	1256	1256	-1	1255
EPS ($)	$2.19	$2.20	$0.01	$2.15

Source: Company reports, Bloomberg, Bernstein estimates and analysis

EXHIBIT 10: **LRCX deferred revenues increased by $227M in the quarter to ~$2.7B, falling ~4ppts as a % of revenue to ~32%**



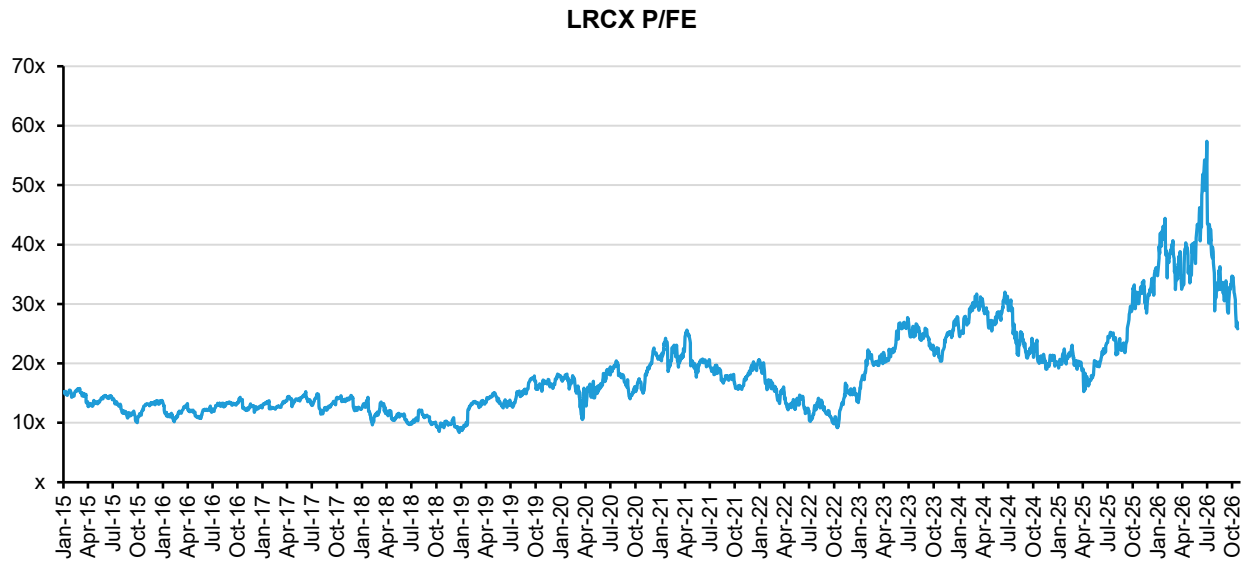
Source: Company reports, Bernstein analysis

EXHIBIT 11: **LRCX's guidance was largely in line with Dec-Q consensus estimates, with revenue impacted by supply chain headwinds and EPS a hair below due to higher taxes**

		Q227 Guidance		Prior Consensus	
	Q127 Results	Range	Midpoint	Q227 Expectations	Delta
Revenue	$8,219	$8,200 - $9,000	$8,600	$8,595	$5
Gross Margin	52.4%	51.5% - 52.5%	52.0%	51.9%	10 bps
Operating Margin	40.2%	39.5% - 41.5%	40.5%	39.6%	86 bps
EPS	$2.20	$2.18 - $2.48	$2.33	$2.34	-$0.01
DSO	1,256		1,253	1,243	10

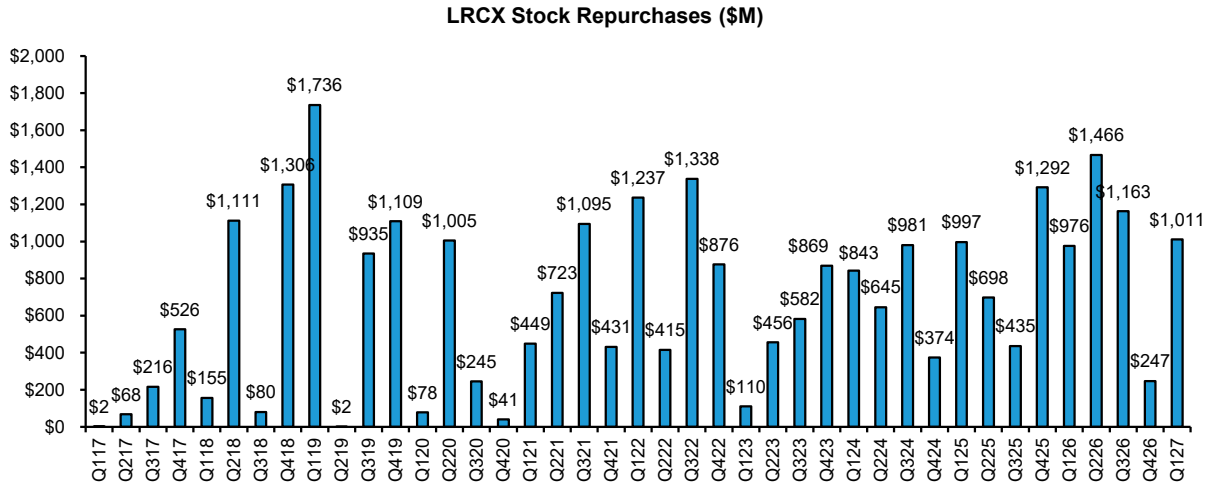
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 12: **Lam's valuation has continued to come down significantly, now trading ~25x**



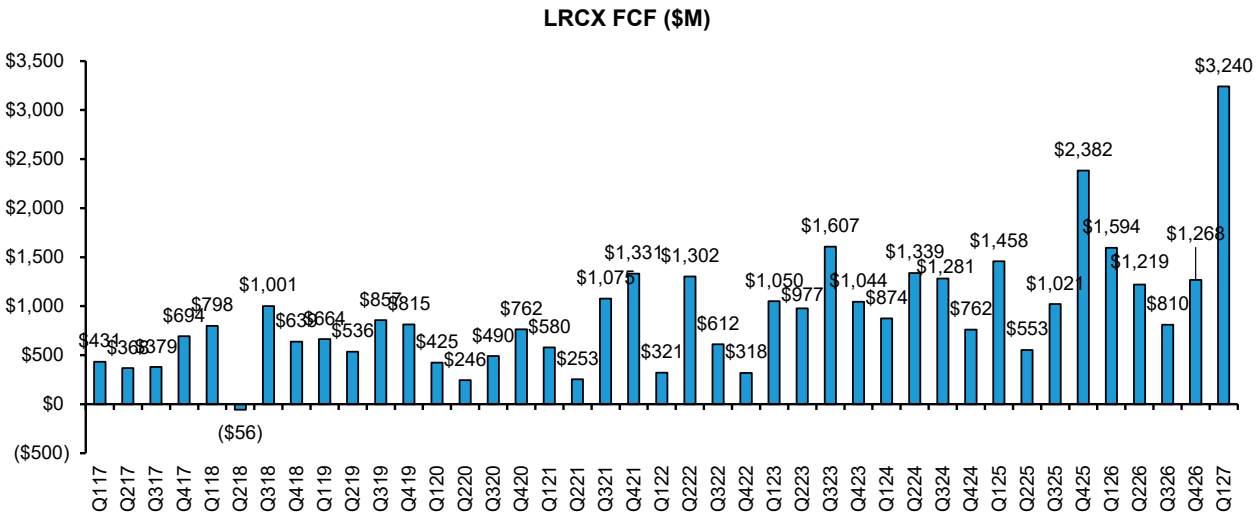
Bloomberg data as of 10/21/26.
Source: Bloomberg, Bernstein analysis

EXHIBIT 13: **LRCX repurchased ~$1B worth of stock in the quarter**



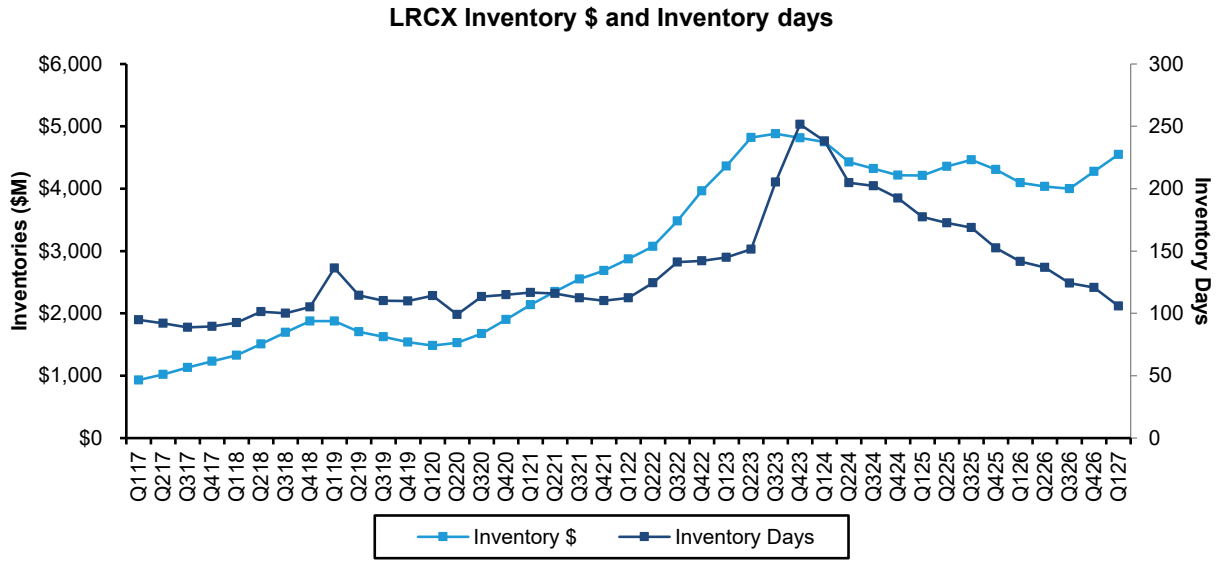
Source: Company reports, Bernstein analysis

EXHIBIT 14: **LRCX FCF was up significantly QoQ to ~$3.2B and stood at ~$6.5B on a TTM basis**



Source: Company reports, Bernstein analysis

EXHIBIT 15: **Inventory dollars were up $274M sequentially to ~$4.6B, however inventory days further decreased to ~106 days (~3.4x turns), reaching a level not seen in ~7 years**



Source: Company reports, Bernstein analysis

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APPENDIX - FINANCIAL FORECASTS

EXHIBIT 16: **Bernstein LRCX Income Statement**

INCOME STATEMENT																
Fiscal Period	**2026**	**2027E**	**2028E**	**2029E**	**Q126**	**Q226**	**Q326**	**Q426**	**Q127**	**Q227E**	**Q327E**	**Q427E**	**Q128E**	**Q228E**	**Q328E**	**Q428E**
Non-GAAP Revenue	$23,233	$35,248	$40,836	$47,084	$5,324	$5,345	$5,841	$6,722	$8,219	$8,617	$9,069	$9,343	$9,597	$9,871	$10,460	$10,908
Non-GAAP COGS	$11,470	$16,753	$19,193	$21,773	$2,631	$2,687	$2,928	$3,225	$3,914	$4,093	$4,308	$4,438	$4,511	$4,639	$4,916	$5,127
Non-GAAP Gross Profit	$11,762	$18,495	$21,643	$25,310	$2,694	$2,658	$2,913	$3,497	$4,305	$4,524	$4,761	$4,905	$5,086	$5,232	$5,544	$5,781
Non-GAAP Operating Expenses	$3,442	$4,257	$4,752	$5,177	$832	$827	$866	$916	$1,004	$1,034	$1,097	$1,121	$1,152	$1,165	$1,203	$1,233
Non-GAAP R&D	$2,331	$2,859	$3,232	$3,589	$566	$565	$585	$614	$660	$689	$744	$766	$787	$790	$816	$840
Non-GAAP SG&A	$1,111	$1,398	$1,519	$1,588	$266	$262	$281	$302	$344	$345	$354	$355	$365	$375	$387	$393
Non-GAAP Operating Income	$8,320	$14,238	$16,891	$20,133	$1,862	$1,831	$2,047	$2,581	$3,301	$3,490	$3,664	$3,784	$3,935	$4,067	$4,341	$4,548
Non-GAAP Other expense, net	($9)	$147	$262	$346	$8	$10	($8)	($19)	$16	$17	$56	$57	$60	$64	$67	$71
Non-GAAP Pre-tax Income	$8,312	$14,385	$17,153	$20,479	$1,869	$1,841	$2,039	$2,562	$3,317	$3,507	$3,720	$3,841	$3,995	$4,131	$4,408	$4,620
Non-GAAP Provision for Income taxes	($978)	($2,375)	($2,830)	($3,379)	($265)	($244)	($188)	($282)	($548)	($579)	($614)	($634)	($659)	($682)	($727)	($762)
Non-GAAP Net Income	$7,334	$12,010	$14,323	$17,100	$1,605	$1,598	$1,851	$2,280	$2,768	$2,928	$3,106	$3,207	$3,336	$3,449	$3,680	$3,858
GAAP Basic Share Outstanding	1,254	1,244	1,221	1,197	1,264	1,255	1,250	1,251	1,251	1,248	1,242	1,236	1,230	1,224	1,218	1,212
GAAP Basic EPS	**$5.79**	**$9.63**	**$11.72**	**$14.28**	$1.24	$1.27	$1.46	$1.82	$2.20	$2.34	$2.50	$2.59	$2.71	$2.81	$3.02	$3.18
GAAP Diluted Share Outstanding	1,260	1,249	1,225	1,202	1,269	1,262	1,257	1,256	1,256	1,253	1,247	1,241	1,235	1,229	1,223	1,217
GAAP Diluted EPS	**$5.76**	**$9.60**	**$11.68**	**$14.22**	$1.24	$1.26	$1.45	$1.81	$2.19	$2.33	$2.49	$2.58	$2.70	$2.80	$3.01	$3.17
Non-GAAP Diluted Share Outstanding	1,260	1,249	1,225	1,202	1,269	1,262	1,257	1,256	1,256	1,253	1,247	1,241	1,235	1,229	1,223	1,217
Non-GAAP Diluted EPS	**$5.82**	**$9.62**	**$11.69**	**$14.23**	$1.26	$1.27	$1.47	$1.82	$2.20	$2.34	$2.49	$2.58	$2.70	$2.81	$3.01	$3.17
Pro-Forma Reconciliation																
GAAP Revenue	**$23,233**	**$35,248**	**$40,836**	**$47,084**	$5,324	$5,345	$5,841	$6,722	$8,219	$8,617	$9,069	$9,343	$9,597	$9,871	$10,460	$10,908
GAAP COGS	**$11,507**	**$16,767**	**$19,204**	**$21,784**	$2,639	$2,694	$2,931	$3,243	$3,921	$4,096	$4,310	$4,440	$4,513	$4,642	$4,919	$5,129
GAAP Gross Profit	**$11,725**	**$18,481**	**$21,632**	**$25,300**	$2,685	$2,651	$2,911	$3,479	$4,299	$4,521	$4,759	$4,902	$5,084	$5,229	$5,541	$5,778
GAAP R&D	**$2,376**	**$2,865**	**$3,232**	**$3,589**	$576	$573	$583	$643	$666	$689	$744	$766	$787	$790	$816	$840
GAAP SG&A	**$1,150**	**$1,403**	**$1,521**	**$1,589**	$279	$268	$280	$322	$349	$345	$354	$355	$365	$375	$387	$393
GAAP Operating expenses	**$3,526**	**$4,269**	**$4,753**	**$5,179**	$856	$841	$864	$965	$1,015	$1,034	$1,098	$1,121	$1,152	$1,165	$1,203	$1,233
GAAP Operating Income	**$8,200**	**$14,212**	**$16,879**	**$20,121**	$1,829	$1,810	$2,047	$2,513	$3,284	$3,487	$3,661	$3,781	$3,932	$4,064	$4,338	$4,545
GAAP Other expenses, net	**$63**	**$159**	**$261**	**$345**	$30	$26	($35)	$42	$28	$17	$56	$57	$60	$64	$66	$71
GAAP Pre-tax income	**$8,262**	**$14,371**	**$17,140**	**$20,465**	$1,859	$1,837	$2,012	$2,555	$3,312	$3,504	$3,717	$3,838	$3,991	$4,127	$4,404	$4,617
GAAP Income tax expenses	**($997)**	**($2,385)**	**($2,830)**	**($3,379)**	($291)	($243)	($186)	($278)	($559)	($579)	($614)	($634)	($659)	($682)	($727)	($762)
GAAP Net Income	**$7,265**	**$11,986**	**$14,309**	**$17,086**	$1,569	$1,594	$1,825	$2,277	$2,753	$2,925	$3,103	$3,204	$3,332	$3,446	$3,677	$3,854

Margins and Growth Rates																
PF Gross Margins	50.6%	52.5%	53.0%	53.8%	50.6%	49.7%	49.9%	52.0%	52.4%	52.5%	52.5%	52.5%	53.0%	53.0%	53.0%	53.0%
R&D as % of Sales	10.0%	8.1%	7.9%	7.6%	10.6%	10.6%	10.0%	9.1%	8.0%	8.0%	8.2%	8.2%	8.2%	8.0%	7.8%	7.7%
SG&A as % of Sales	4.8%	4.0%	3.7%	3.4%	5.0%	4.9%	4.8%	4.5%	4.2%	4.0%	3.9%	3.8%	3.8%	3.8%	3.7%	3.6%
PF Opex as % of Sales	14.8%	12.1%	11.6%	11.0%	15.6%	15.5%	14.8%	13.6%	12.2%	12.0%	12.1%	12.0%	12.0%	11.8%	11.5%	11.3%
PF OPM	35.8%	40.4%	41.4%	42.8%	35.0%	34.3%	35.0%	38.4%	40.2%	40.5%	40.4%	40.5%	41.0%	41.2%	41.5%	41.7%
Tax Rate	(11.8%)	(16.5%)	(16.5%)	(16.5%)	(14.2%)	(13.2%)	(9.2%)	(11.0%)	(16.5%)	(16.5%)	(16.5%)	(16.5%)	(16.5%)	(16.5%)	(16.5%)	(16.5%)
Net Margin	31.6%	34.1%	35.1%	36.3%	30.1%	29.9%	31.7%	33.9%	33.7%	34.0%	34.3%	34.3%	34.8%	34.9%	35.2%	35.4%
QoQ																
Sales					3.0%	0.4%	9.3%	15.1%	22.3%	4.8%	5.3%	3.0%	2.7%	2.9%	6.0%	4.3%
Gross Profit					3.6%	(1.3%)	9.6%	20.1%	23.1%	5.1%	5.3%	3.0%	3.7%	2.9%	6.0%	4.3%
R&D					0.1%	(0.0%)	3.6%	4.9%	7.5%	4.4%	7.9%	3.0%	2.7%	0.3%	3.3%	2.9%
SGA					3.4%	(1.6%)	7.1%	7.6%	13.9%	0.1%	2.6%	0.4%	2.7%	2.9%	3.2%	1.5%
Operating Profit					4.7%	(1.7%)	11.8%	26.1%	27.9%	5.7%	5.0%	3.3%	4.0%	3.4%	6.7%	4.8%
Tax Rate					-938 bps	93 bps	401 bps	-178 bps	-554 bps	04 bps	00 bps	00 bps	00 bps	00 bps	00 bps	00 bps
Net Income					(5.5%)	(0.4%)	15.9%	23.1%	21.4%	5.8%	6.1%	3.2%	4.0%	3.4%	6.7%	4.8%
DSO					(0.6%)	(0.6%)	(0.3%)	(0.1%)	(0.0%)	(0.2%)	(0.5%)	(0.5%)	(0.5%)	(0.5%)	(0.5%)	(0.5%)
EPS					(4.9%)	0.2%	16.3%	23.3%	21.4%	6.0%	6.6%	3.7%	4.5%	3.9%	7.2%	5.3%
YoY																
Sales	26.0%	51.7%	15.9%	15.3%	27.7%	22.1%	23.8%	30.0%	54.4%	61.2%	55.3%	39.0%	16.8%	14.6%	15.3%	16.8%
Gross Profit	30.7%	57.2%	17.0%	16.9%	34.1%	28.0%	26.0%	34.5%	59.8%	70.2%	63.4%	40.2%	18.2%	15.7%	16.4%	17.9%
R&D	12.2%	22.7%	13.1%	11.0%	16.1%	14.8%	9.8%	8.8%	16.7%	21.9%	27.0%	24.7%	19.2%	14.6%	9.7%	9.6%
SGA	15.2%	25.8%	8.7%	4.5%	13.4%	8.3%	21.9%	17.3%	29.2%	31.5%	26.0%	17.5%	6.0%	8.8%	9.4%	10.6%
Operating Profit	39.7%	71.1%	18.6%	19.2%	44.7%	36.4%	32.1%	45.1%	77.3%	90.6%	79.0%	46.6%	19.2%	16.5%	18.5%	20.2%
Tax Rate	-93 bps	-474 bps	01 bps	00 bps	-41 bps	-06 bps	412 bps	-622 bps	-237 bps	-327 bps	-728 bps	-550 bps	04 bps	00 bps	00 bps	00 bps
Net Income	37.6%	63.8%	19.3%	19.4%	43.1%	36.0%	38.6%	34.3%	72.5%	83.3%	67.8%	40.7%	20.5%	17.8%	18.5%	20.3%
DSO	(2.2%)	(0.9%)	(1.9%)	(2.0%)	(2.7%)	(2.3%)	(2.4%)	(1.6%)	(1.1%)	(0.7%)	(0.8%)	(1.2%)	(1.7%)	(1.9%)	(1.9%)	(1.9%)
EPS	40.7%	65.3%	21.5%	21.8%	47.0%	39.2%	42.0%	36.5%	74.4%	84.6%	69.2%	42.4%	22.5%	20.1%	20.8%	22.7%

Source: Company reports, Bernstein estimates and analysis

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EXHIBIT 17: **Bernstein LRCX Balance Sheet and Cash Flow Statement**

BALANCE SHEET																
Fiscal Period	**2026**	**2027E**	**2028E**	**2029E**	**Q126**	**Q226**	**Q326**	**Q426**	**Q127**	**Q227E**	**Q327E**	**Q427E**	**Q128E**	**Q228E**	**Q328E**	**Q428E**
Assets																
Current Assets:																
Cash and cash equivalents	$5,579	$9,903	$11,796	$14,504	$6,693	$6,180	$4,751	$5,579	$7,437	$9,550	$9,652	$9,903	$10,298	$10,583	$11,075	$11,796
Investments	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Accounts receivable, net	$5,340	$6,432	$7,509	$8,368	$3,633	$3,492	$4,133	$5,340	$5,658	$5,932	$6,243	$6,432	$6,607	$6,795	$7,201	$7,509
Inventories	$4,276	$5,161	$5,962	$6,503	$4,095	$4,038	$4,000	$4,276	$4,551	$4,760	$5,010	$5,161	$5,246	$5,396	$5,718	$5,962
Prepaid expenses and other current assets	$416	$573	$672	$750	$386	$308	$413	$416	$478	$535	$573	$573	$587	$611	$648	$672
Non-cash current assets	$10,032	$12,165	$14,143	$15,621	$8,114	$7,838	$8,546	$10,032	$10,687	$11,227	$11,826	$12,165	$12,440	$12,803	$13,566	$14,143
Total current assets	**$15,611**	**$22,069**	**$25,939**	**$30,125**	$14,807	$14,018	$13,297	$15,611	$18,124	$20,777	$21,478	$22,069	$22,738	$23,386	$24,641	$25,939
PP&E, net	$2,956	$3,538	$4,150	$4,844	$2,511	$2,711	$2,854	$2,956	$3,126	$3,257	$3,396	$3,538	$3,682	$3,828	$3,985	$4,150
Restricted cash and investments	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Goodwill and intangible assets	$1,896	$1,902	$1,890	$1,878	$1,827	$1,864	$1,882	$1,896	$1,912	$1,909	$1,906	$1,902	$1,899	$1,896	$1,893	$1,890
Other assets	$3,067	$4,085	$4,779	$5,334	$2,756	$2,798	$2,759	$3,067	$3,191	$3,964	$4,029	$4,085	$4,150	$4,378	$4,596	$4,779
Total assets	**$23,530**	**$31,594**	**$36,758**	**$42,182**	$21,900	$21,391	$20,792	$23,530	$26,353	$29,907	$30,808	$31,594	$32,469	$33,488	$35,116	$36,758
Liabilities and Stockholders' Equity																
Non-debt current liabilities	$5,933	$10,274	$11,995	$13,368	$5,954	$5,459	$5,238	$5,933	$7,309	$9,476	$9,975	$10,274	$10,553	$10,856	$11,503	$11,995
Current portion of convertible notes and capital leases	$4	$3	$3	$3	$754	$754	$4	$4	$3	$3	$3	$3	$3	$3	$3	$3
Total current liabilities	**$5,937**	**$10,278**	**$11,999**	**$13,371**	$6,708	$6,213	$5,242	$5,937	$7,312	$9,480	$9,978	$10,278	$10,557	$10,859	$11,507	$11,999
Senior notes, convertible notes, and capital leases, less current p	$3,730	$3,732	$3,732	$3,732	$3,730	$3,730	$3,730	$3,730	$3,732	$3,732	$3,732	$3,732	$3,732	$3,732	$3,732	$3,732
Income taxes payable	$681	$684	$684	$684	$646	$668	$622	$681	$684	$684	$684	$684	$684	$684	$684	$684
Other long-term liabilities	$710	$974	$1,135	$1,240	$624	$635	$613	$710	$716	$924	$960	$974	$1,002	$1,033	$1,090	$1,135
Total liabilities	**$11,059**	**$15,668**	**$17,550**	**$19,027**	$11,707	$11,246	$10,207	$11,059	$12,445	$14,820	$15,354	$15,668	$15,975	$16,308	$17,013	$17,550
Total stockholders' equity	**$12,471**	**$15,926**	**$19,208**	**$23,154**	$10,193	$10,145	$10,585	$12,471	$13,908	$15,087	$15,454	$15,926	$16,494	$17,180	$18,102	$19,208
Total liabilities and stockholders' equity	**$23,530**	**$31,594**	**$36,758**	**$42,182**	$21,900	$21,391	$20,792	$23,530	$26,353	$29,907	$30,808	$31,594	$32,469	$33,488	$35,116	$36,758

CASH FLOW STATEMENT																
Fiscal Period	**2026**	**Q209**	**Q210**	**Q211**	**Q126**	**Q226**	**Q326**	**Q426**	**Q127**	**Q227E**	**Q327E**	**Q427E**	**Q128E**	**Q228E**	**Q328E**	**Q428E**
Cash flows from operating activities:																
Net income	**$7,265**	**$11,986**	**$14,309**	**$17,086**	$1,569	$1,594	$1,825	$2,277	$2,753	$2,925	$3,103	$3,204	$3,332	$3,446	$3,677	$3,854
Depreciation and amortization	$442	$530	$625	$731	$102	$104	$116	$120	$122	$131	$136	$141	$147	$153	$159	$165
Other changes to operatiing cash flows	($1,849)	$1,839	($254)	$28	$109	($218)	($800)	($940)	$622	$1,178	($6)	$45	$97	($126)	($140)	($84)
Cash provided by operating activities	**$5,858**	**$14,355**	**$14,680**	**$17,845**	$1,779	$1,480	$1,141	$1,457	$3,498	$4,234	$3,233	$3,391	$3,576	$3,473	$3,696	$3,936
Cash flows from investing activities:																
Capital expenditures and intangible assets	**($966)**	**($1,069)**	**($1,225)**	**($1,413)**	($185)	($261)	($332)	($189)	($258)	($258)	($272)	($280)	($288)	($296)	($314)	($327)
Business acquisition, net of cash acquired	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Net sales from available-for-sale investments	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Transfers of restricted cash and investments	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Other	$44	($9)	$0	$0	($1)	$3	($3)	$45	($9)	$0	$0	$0	$0	$0	$0	$0
Cash used in investing activities	**($922)**	**($1,078)**	**($1,225)**	**($1,413)**	($186)	($258)	($335)	($144)	($267)	($258)	($272)	($280)	($288)	($296)	($314)	($327)
Cash flows from financing activities:																
Debt repayments	($755)	($34)	$0	$0	($1)	($1)	($751)	($1)	($34)	$0	$0	$0	$0	$0	$0	$0
Debt issuance	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Excess tax benefit on share-based compensation	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Treasury stock purchases	($3,851)	($7,525)	($10,000)	($12,000)	($976)	($1,466)	($1,163)	($247)	($1,025)	($1,500)	($2,500)	($2,500)	($2,500)	($2,500)	($2,500)	($2,500)
Dividends paid	($1,271)	($1,406)	($1,563)	($1,724)	($292)	($328)	($326)	($325)	($325)	($362)	($360)	($358)	($394)	($392)	($390)	($388)
Reissuance of treasury stock related to employee stock purchase	$156	$0	$0	$0	$0	$67	$0	$89	$0	$0	$0	$0	$0	$0	$0	$0
Proceeds from issuance of common stock	$17	$4	$0	$0	$0	$4	$9	$4	$4	$0	$0	$0	$0	$0	$0	$0
Other	($14)	($2)	$0	$0	($12)	($1)	$0	($0)	($2)	$0	$0	$0	$0	$0	$0	$0
Cash used in financing activities	**($5,718)**	**($8,963)**	**($11,563)**	**($13,724)**	($1,282)	($1,725)	($2,231)	($480)	($1,382)	($1,862)	($2,860)	($2,858)	($2,894)	($2,892)	($2,890)	($2,888)
Free Cash Flow	**$4,891**	**$13,287**	**$13,455**	**$16,433**	$1,594	$1,219	$810	$1,268	$3,240	$3,975	$2,961	$3,110	$3,288	$3,177	$3,382	$3,608

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

			21 Oct 2026		TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2026A	2027E	2028E	2026A	2027E	2028E
LRCX (Lam Research)	O	USD	260.81	**350.00**	64.6%	USD	5.82	**9.62**	**11.69**	44.8	27.1	22.3
OLD				385.00				9.22	10.97			
SPX			7,757.17									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

I. REQUIRED DISCLOSURES

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VALUATION METHODOLOGY

Lam Research Corp

For LRCX, we apply a ~30x multiple to the average our FY2028 non-GAAP EPS estimate of $11.69 equating to a $350 price target.

RISKS

Lam Research Corp

Downside risks to our price target include the potential for a longer or deeper industry downturn, detrimental end market mix, further NAND spending weakness, share losses, and geopolitical risks.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

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- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
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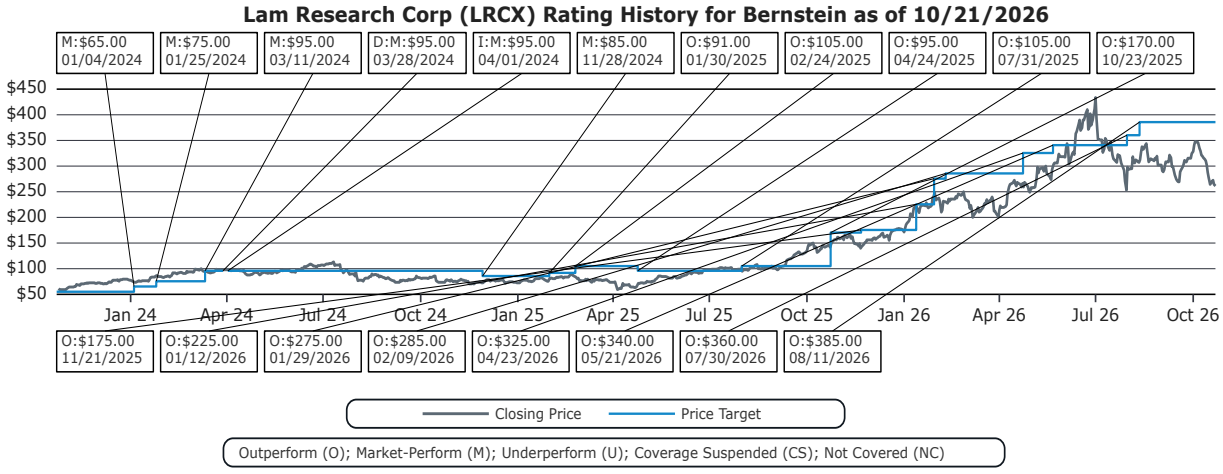
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* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
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